COMPARISON OF COST-RECOVERY LEGISLATION IN OTHER STATES

Arden Legislative Reference Bureau, research note

Prepared at the request of a Member. The Bureau takes no position. The states named are those whose enactments the Bureau was able to obtain; the comparison is not exhaustive.

State	Charge base	Reach-back	Coverage test	Fund confined to state
Calderon	volume sold in state	3 years	fixed dollar in-state sales	yes
Merrow	carbon content of fuel sold	none (prospective)	proportion of national output	no
Vantry	gross receipts	5 years	fixed dollar total revenue	yes
Ossory	volume, with rate by product	2 years	none (all sellers)	partly
Brayle	not enacted (vetoed)	6 years	proportion of own revenue	yes

THE ENACTMENTS IN OUTLINE

Calderon. Charges sellers by volume rather than by receipts, with a three-year reach-back. Coverage is a fixed dollar figure of in-state sales, which the Bureau notes is the form recommended in the design literature. The fund is confined to the State and administered by the environmental agency. Two producers brought suit; the Bureau does not report on the progress of that litigation.

Merrow. Wholly prospective, and measured by the carbon content of fuel sold rather than by receipts or volume. Coverage is a proportion of the seller's national output, which the Bureau has not seen elsewhere. Uniquely among the four, the fund may be applied to projects outside the State where the State is a beneficiary of them.

Vantry. Charges gross receipts with a five-year reach-back, the longest among the enactments obtained. Coverage is a fixed dollar figure of total revenue, not of in-state sales; the Bureau notes that this reaches large sellers with small in-state operations, which is the opposite of the Arden bill's effect.

Ossory. Dispenses with a coverage test: every seller pays, at a rate varying by product. The reach-back is two years. The Bureau notes that this design avoids the definitional questions the other three raise, at the cost of reaching very small sellers.

Brayle (vetoed). Would have used a proportion of the seller's own revenue, as the Arden bill does, with a six-year reach-back. The veto message is annexed. The Governor of that State wrote that the coverage test 'will exclude the largest sellers, who have the smallest proportion of their revenue in this State, while reaching sellers of moderate size whose operations here are concentrated', and that this was 'the opposite of what the bill sets out to do'.

OBSERVATIONS

Of the four enacted measures, two use a fixed dollar figure in the coverage test, one uses a proportion of national output, and one dispenses with a test. The Bureau found no enacted measure using a proportion of the seller's own revenue. The one bill that did so was vetoed, and the veto message is annexed; the ground given was that the test would exclude the largest sellers while reaching smaller ones, which the Governor of that state described as the opposite of the bill's purpose.

Reach-back periods among the enacted measures with retroactive effect range from two to five years. The Bureau found no enacted measure with a reach-back exceeding five years.

Two of the four enacted measures have been challenged. The Bureau does not report on the progress of the litigation, which is outside the scope of a research note.

Annexes: text of each enactment; veto message from Brayle.